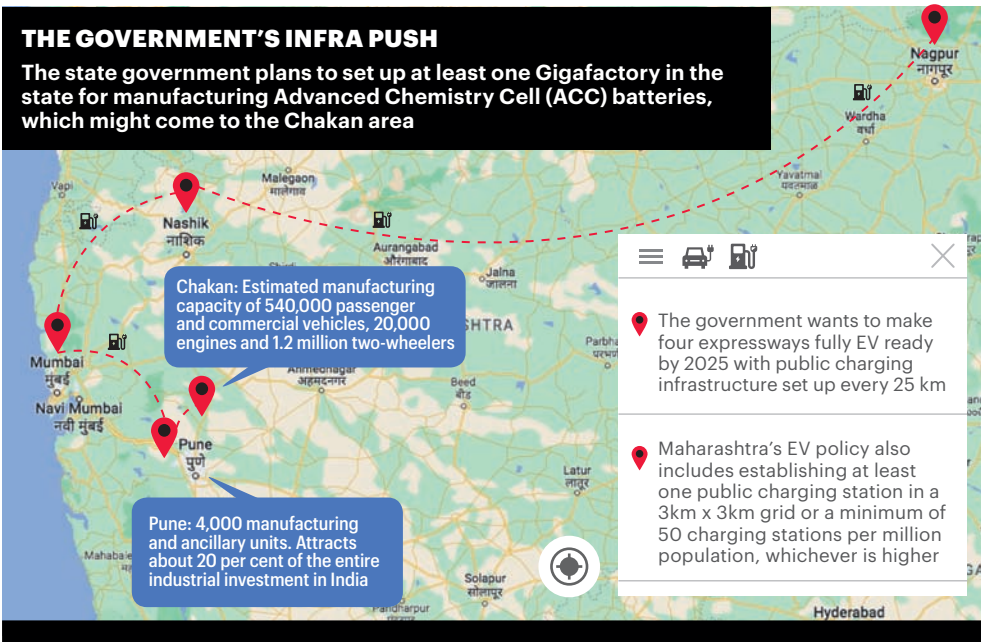


THE GOVERNMENT'S INFRA PUSH

The state government plans to set up at least one Gigafactory in the state for manufacturing Advanced Chemistry Cell (ACC) batteries, which might come to the Chakan area



90 |

ALMOST ALL BILLBOARDS in the two-lane industrial corridor of Chakan, Pune, advertise ambitious real estate projects. All thanks to the suburban town's growth as an auto manufacturing hub after hosting global automotive giants like Mercedes-Benz, Volkswagen (VW), Bridgestone, Bosch, etc., earning Chakan the tag 'Detroit of India'. Battered by the pandemic, the automotive micro, small and medium enterprises (MSMEs) of Chakan and adjacent areas like Talegaon and Pimpri-Chinchwad are pinning their hopes of revival on pent-up demand, growing exports and the electric vehicle (EV) disruption.

Today, there are about 40,000 to 50,000 small and large companies in the area. More companies continue to make investments here, especially since the demand for electronics and software-enabled components is rising. In June 2019, Harman—a fully-owned subsidiary of Samsung Electronics—invested ₹350 crore in its

existing Chakan plant to expand capacity 12-fold by 2022. The company said that in the next three years, the production of digital cockpit units (DCUs) and telematics control units (TCUs) from its Chakan plant would increase from 200,000 units to over 2.5 million units annually. This would allow them to manufacture customised connected car electronics solutions for large domestic and global customers including Maruti Suzuki, Mercedes-Benz, the VW Group, Tata Motors and Fiat Chrysler.

Chakan is spreading its wings when it comes to research and development (R&D), too. The central government's Automotive Research Association of India has an institute in Pune that provides advanced research, development, testing and certification services in the field of automotive R&D. Lumax Cornaglia Auto Technologies, a 50-50 joint venture between Lumax Auto Technologies and the Cornaglia Group of Italy, set up a new R&D centre in Chakan and is working on air intake sys-

tems, urea tanks, other automotive tanks, CAC ducts and other blow-moulded parts. The centre is aimed at enhancing the local design, development and testing capabilities to provide localised solutions to OEMs. "Across sectors, Tata and Mahindra are No. 1 and No. 2 in R&D spending in India. Clearly, those benefits will trickle down to MSMEs. That augurs well for the economy but we have to make sure that we stay abreast with new technologies," says Jiten Divgi, Managing Director of automotive powertrain solutions maker Divgi TorqTransfer Systems.

Another advantage is the adequate availability of unskilled, skilled and managerial workforce, and learning opportunities for employees in the many institutes of higher learning in the vicinity.

It all began after Tata Motors and Bajaj Auto set up their first plants in the 1960s. Tata Motors' facility was set up in 1966 in the Pimpri-Chinchwad area, and today it can produce over half a million vehicles for both domestic and in-